

Graham's statistical criteria had. Buffett's strategy was not designed to be applied algorithmically to select a portfolio, as Graham's was, but appeared to rely on Buffett's uncanny abilities as a business analyst. How could Buffett's strategy be codified, and how would a systematic application of those quantitative elements perform without Buffett's superior insight into the qualitative elements of the business: First-class management and a first-class business, meaning an enduring moat and good economics? Greenblatt read through Buffett's *Berkshire Hathaway, Inc. Annual Report* "Chairman's Letters" to break down his strategy into its component parts—a wonderful company, and a fair price—and to find a quantifiable definition for each.

Buffett's classification of a wonderful company in particular seemed to resist quantification. How could Greenblatt simply identify a first-class business with a first-class management? In his 1977 *Chairman's Letter*, Buffett showed the way:⁸

Except for special cases (for example, companies with unusual debt-equity ratios or those with important assets carried at unrealistic balance sheet values), we believe a more appropriate measure of managerial economic performance to be return on equity capital.

Greenblatt reinterpreted Buffett's *return on equity capital* measure as *return on capital*, which he construed as the ratio of *pre-tax operating earnings* (*earnings before interest and taxes*, or EBIT) to *tangible capital* employed in the business (Net Working Capital + Net Fixed Assets), defined as follows:⁹

Return on Capital = $\text{EBIT} \div (\text{Net Working Capital} + \text{Net Fixed Assets})$

The use of EBIT for *pre-tax operating earnings* makes the *return on capital* ratio comparable across different capital structures. This is important because the particular mix of debt and equity in a company impacts the interest paid and the tax rate, and therefore reported earnings. (Greenblatt makes the simplifying assumption that maintenance capital expenditures equate to depreciation and amortization, and so can be excluded from the *operating earnings* calculation.) EBIT makes an apples-to-apples comparison possible. For *tangible capital* Greenblatt uses Net Working Capital + Net Fixed Assets, rather than say *total assets*, to determine the amount of capital each company actually requires to conduct its business. Greenblatt's Net Working Capital ratio therefore does not punish a company that carries excess cash (cash beyond the amount required to fund its receivables and inventory). Net Fixed Assets—the depreciated cost of a company's fixed assets—is included in the *tangible capital* calculation because a company must also fund the